DINSON COLLIERY (PRIVATE) LIMITED

versus

COLLINA MULEYA

HIGH COURT OF ZIMBABWE
MUTEVEDZI & NDHLOVU JJ
BULAWAYO, 17 June 2026 & 30 July 2026

Civil appeal judgment

G. Jakousi for the appellant
M.E.P Moyo for the respondent

MUTEVEDZI J: This appeal, filed against the entire judgment of the Magistrates' Court sitting at Hwange, typifies the confusion wrought by the promulgation of the Labour Amendment Act, No. 11 of 2023.

FACTUAL BACKGROUND

1. Colina Muleya ("the respondent") was an employee of Dinson Colliery (Pvt) Ltd ("the appellant"), a company incorporated in terms of the laws of Zimbabwe. It is a mining concern. The respondent served in the appellant in the capacity of Marketing Officer until the termination of his employment on 31 January 2022. The termination was not only unceremonious but was equally acrimonious as the respondent felt that he had been unfairly dismissed. He referred the unfair dismissal dispute to the National Employment Council for the Mining Industry (hereinafter "the NEC") in terms of the applicable labour dispute resolution procedures.

2. A designated agent (the Agent) of the NEC determined the matter. His determination was handed down on 16 August 2023. He found that the respondent had been unfairly dismissed and awarded him the following monetary relief: US$1,307.70 as cash *in lieu* of the notice of intention to terminate employment; US$251.48 as cash *in lieu* of accrued leave; US$1,953.00 for underpayment of

wages; US$154.57 as gratuity; US$7,846.20 as damages *in lieu* of reinstatement, representing 18 months' remuneration; and US$1,307.70 in outstanding wages for three months. The total award amounted to US$12,820.62.

3. The appellant did not accept the Agent's determination. It noted an appeal to the Labour Court under case number LC/B/128/23. The appeal was dismissed. The appellant thereafter appealed to the Supreme Court under case number SCB96/24. However, on 29 January 2025, it withdrew the appeal with a tender of costs. Consequently, the decision of the Labour Court upholding the Agent's determination remained extant. The appellant nevertheless failed to satisfy the award. Instead of simply applying to register his award, the respondent chose to sue out summons in the Magistrates Court under Case No. R-HWGCG 01/25 for recovery of the amount awarded in the determination. In other words, the respondent treated the award is an ordinary civil debt. The appellant entered an appearance to defend the claim. The respondent subsequently applied for summary judgment in terms of Order 15 of the Magistrates Court (Civil) Rules, 2019 ("the Magistrate Court Rules"). He contended that the Agent's determination constituted a liquidated claim and that the appellant's entry of appearance to defend was solely for purposes of frustrating his claim and delaying execution. He said the appellant did not have a *bona fide* defence capable of defeating the claim.

4. In our view, and as we will demonstrate later, the course taken by the respondent to classify an award by a designated agent in a labour dispute as an ordinary, liquidated civil debt was a novel one.

Proceedings in the court a quo

5. In the court *a quo*, the argument was solely whether or not the respondent had made out a case for the grant of summary judgment. The appellant's principal defence was that summary judgment could not be granted because the determination issued by the designated agent of the NEC for the Mining Industry was a nullity. It contended that the determination had been issued after the coming into force of the Labour Amendment Act, 2023 ("the Labour Amendment Act") which, in the appellant's view, had abolished the dispute-resolution mechanisms of the NECs. As such, so the argument continued, the designated agent did not have jurisdiction to determine the dispute. The appellant relied and continues to rely on the Labour Court judgment in the case of *DGL Investments Number 5 (Pvt) Ltd* v *Ndlovu & Ors* LC/MT/70/23. The appellant further submitted that for that reason, its entry of appearance to defend was *bona fide* and that the issue it raised constituted a valid defence to the claim.

6. In response, the respondent argued that the Labour Court's decision in *DGL Investments* (supra), which the respondent sought to rely on, had subsequently been set aside by the Supreme Court in the case of *NEC Mining Industry* v *DGL Investments Number 5 (Pvt) Ltd* SCB97-23. It was therefore of no precedential value. Accordingly, he said the appellant's purported defences were devoid of legal merit and did not disclose a *bona fide* defence capable of deflecting an application for summary judgment.

Findings of the court *a quo*.

7. The court *a quo* dismissed the appellant's contention that the determination on which the claim was based was invalid. It relied on the decision in *Lafarge Cement (Zimbabwe) Ltd* v *Chatizembwa* HH 213-18 and concluded that the appellant had failed to establish a defence warranting the matter to proceed to trial. Accordingly, it granted summary judgment in favour of the respondent.

Proceedings before this Court

8. Dissatisfied with that decision, the appellant noted the present appeal. Its grounds were couched as follows:

> **"GROUNDS OF APPEAL**
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> 1. The court *aquo* seriously misdirected itself in granting the application for summary judgment and in finding that the appellant had no plausible defence. This is despite the fact that appellant raised a defence that the determination sought to be registered was a nullity. The determination was made after the National Employment Council for Mining was abolished by Section 56 of the Labour Act Amendment 2023.
> **2.** The court *aquo* seriously erred in finding that the determination sought to be registered was a liquidated amount. At law a liquidated amount must be acknowledged by the other party, that is not the case herein. (sic)
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> **RELIEF SOUGHT**
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> "TAKE NOTICE THAT the Appellant seeks the following relief:
> 1) The instant appeal succeeds with costs.
> 2) The judgment of the Magistrate Court be and are hereby set aside with costs and substituted with an order that: -
> "The application for summary judgment be and is hereby dismissed."

Issues for determination

9. In its heads of argument, the appellant abandoned the second ground of appeal. It therefore meant that the only ground that remained was the argument that the NEC for the Mining Industry had been abolished at the time the Agent's decision was handed down. To us the issues for determination are therefore as follows:

a. whether or not the NEC Agent's determination is valid

b. If so, whether or not it was competent for the respondent to sue out a fresh summons for the recovery of the monies stated in the award

The validity or otherwise of the Agent's determination

The Law

10. There appears to be no argument that the Labour Amendment Act No. 11 of 2023, which came into effect on 14 July 2023, repealed s 56 of the Labour Act [*Chapter*

28:01] (the Labour Act). What has caused consternation is the interpretation by members of the public, some scholars, and even more worryingly by the courts that the Amendment Act abolished all National Employment Councils (NECs) which existed prior to its promulgation. In *DGL Investments* (supra); *N. Richards & Co. Masvingo v Constance Nleya & Another* LC/MD/20/24 and *Peter Matupire v Lobels Biscuits (Pvt) Ltd* LC/MT/46/24 the Labour Court certified the argument that voluntary NECs ceased to exist with the repeal and that any decision passed after that abolition was null and void for want of jurisdiction by the designated agents.

11. What we note, however, is that in its wake, the Amendment Act did not absolutely abolish the NECs. What it did was to simply repeal and replace s 56 of the Labour Act with a new provision. That new section removed the old system where NECs were voluntary. It mutated them into statutory bodies which are mandatory and bind every employer. The general jurisdiction and the powers to resolve disputes of the agents designated by the NECs became constricted. A new statutory regime under which all NECs were required to align and comply with the modernised legal framework came into operation. Failure to do so would result in the drastic punishment of deregistration. It expressly provides for the formation of employment councils by employers' organizations or federations thereof and registered trade unions or federations of such unions, upon the signing of a constitution and application for registration in terms of section 59. Put differently, although the new s56(1) now contains additional provisions, the substance of the former section 56(1) was retained under s 56(3), without substantive alteration. Accordingly, much as the amendment restructured the legal framework governing NECs, it did not eliminate the statutory mechanism for their establishment.

12. Yet we make the above observations in passing because the critical question is whether or not all the NECs ceased to exist and the decisions handed down thereafter from cases that were pending before the NECs as previously constituted were rendered nugatory when the Amendment came into operation on 14 July 2023.

The question is not easy to answer, particularly given that the Amendment completely omitted to provide for any transitional provisions regarding the status of existing NECs. Section 23 of the Amendment Act repealed and replaced s 56 of the Labour Act without a savings clause or any reprieve for existing NECs to comply. As a result, courts have had to deal with the yawning legal vacuums created. Such gaps directly contributed to decisions like *DGL Investments,* which have bred chaos in the resolution of employment disputes.

13. We state upfront that the absence of a savings clause on its own does not automatically lead to the conclusion that the existing NECs were abolished. It is a well-established principle of statutory interpretation that legislation is presumed to operate prospectively rather than retrospectively. That rule was emphasized in the case of *Greatermans Stores & Anor* v *Minister of Public Service, Labour & Social Welfare* CCZ86-15 wherein MALABA DCJ (later CJ) stated:

> "There is a principle of construction of statutes which has been adhered to with great strictness by the courts in deciding whether a statute is or is not retrospective in effect. It is to the effect that laws by which human action is to be regulated look forward not backwards. The Legislature should be presumed to intend its legislation to operate prospectively. It is an aspect of the rule of law and is the most practical constraint on retrospective civil legislation. Statutes should be construed as to prevent them from operating retrospectively, unless the Legislature expresses the intention that the statute operates retrospectively in sufficiently clear and unambiguous language."

14. Accordingly, unless the legislature has expressly stated a contrary intention in unambiguous language, an amending statute will not be construed as interfering with vested rights, altering accrued obligations, or affecting pending proceedings. See also *Chigovera* v *Minister of Energy and Power Development & Anor* SC115-21; and *Gudza* v *City of Harare* SC17-20.

In the South African authority of *Curtis v Johannesburg Municipality* 1906 TS 308 at p 311 the principle was stated thus: -

> "In the absence of express provisions to the contrary, statutes should be <u>considered as affecting future matters only and more especially…they should if possible be so interpreted as not to take away rights actually vested at the time of their promulgation</u>." (Emphasis added)

15. This presumption against retrospectivity is particularly compelling where a contrary interpretation would disturb existing legal relationships or invalidate institutions which were lawfully established under a previous statutory framework. That principle has long been recognised in our law and is incorporated in our statutes in s17 of the Interpretation Act [*Chapter 1:01*] ("the Interpretation Act"), which provides as follows:

> "(1) Where an enactment repeals another enactment, the repeal shall not –
> (a)…
> (b) affect the previous operation for any enactment repealed or anything duly done or suffered under the enactment so repealed; or
> (c) affect any right, privilege, obligation or liability acquired, accrued or incurred under the enactment so repealed;
> (d)…
> (e) affect any investigation, legal proceeding or remedy in respect of any such right, priviledge, obligation, liability, penalty. Forfeiture or punishment as aforesaid and any such investigation, legal proceeding or remedy shall be exercisable, continued or enforced and any such penalty, forfeiture or punishment may be imposed as if the enactment has not been so repealed."

16. The meaning of s 17 was authoritatively determined in *Chigovera* v *Minister of Energy and Power Development & Anor* (supra) where KUDYA AJA (now JA) said that: -

> "This section preserves the effects of a repealed enactment. These include any accrued rights and privileges and any incurred obligations and liabilities and any pending legal proceedings and consequential remedies.
> The above section first appeared in our statute book as s 12 of the Interpretation Act, 1954. It was re-enacted as s 15 of the Interpretation Act *[Chapter 1]* before its transmutation in the Revised Ed of 1996 to the Interpretation Act *[Chapter 1:01*].
> The meaning, purpose and application of this provision in this jurisdiction was enunciated by the majority decision of the Federal Supreme Court of Rhodesia and Nyasaland in *Ranger v Greenfield NO & Anor* 1963 (2) SA 207 (FC); *Zimbabwe Township Developers (Pvt) Ltd v Lou's Shoes (Pvt) Ltd* 1983 (2) ZLR 376 (S) at 380A-C."

His LORDSHIP proceeded and said: -

> "In the *Lou's Shoes* case, at 380 A-C GEORGES CJ outlined the history and pronounced the purpose of the provision. He said:
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> > "An examination of the history of s 11 of the English Interpretation Act which is in language very similar to our s 15 confirms this. Prior to that enactment the common law was that if an Act of Parliament which repealed former statutes was itself repealed by an Act which contained nothing indicating that the former laws should continue repealed, the former laws would by implication be revived by the repeal of the repealing statute - *Tattle v Grimwood* (1826) 3 Bing 493 at 496. Further in *In Re Mexican and South B American Co* (1859) 4 De G J 544 at 557 it was stated to be clear that where an Act of Parliament was repealed it had to be considered, except as regards transactions past and closed, as if it had never existed. The English Interpretation Act changed that inconvenient situation."

17. From the above, it is apparent that the purpose of s 17(1)(a) of the Interpretation Act is to prevent the invalidation of rights, liabilities, or obligations that accrued or were incurred whilst the repealed enactment remained in force. Subparagraph (b) of s 17(1) provides that the repeal of an enactment does not affect the validity of actions taken or obligations incurred while that enactment was in force. In our view, although para (c) has been the principal subject of judicial interpretation in decisions from this and other jurisdictions, the same construction applies to para (e) of s 17(1). This is because the two paragraphs, although directed at different circumstances, serve the same underlying purpose.

18. Section 56 of the Amendment Act must therefore be construed against the above legislative background. Although the Amendment Act reallocates certain labour dispute resolution functions to the Labour Court, it contains no express provision declaring that proceedings pending before designated agents of NECs automatically lapsed upon its commencement. Equally, it does not provide that determinations of pending cases issued by designated agents after 14 July 2023 are rendered null and void by reason only of the commencement of the Amendment Act. Had the Legislature intended such far-reaching consequences, it would have stated so in clear, unequivocal and unambiguous terms. It is a cardinal principle of statutory interpretation that courts can neither read into a statute words that the Legislature deliberately omitted, nor infer consequences of such magnitude in the absence of express language or some necessary implication.

19. The language employed by the lawmaker instead contemplates transitional arrangements pending the coming into full effect of the new regime. The evident purpose of the envisaged transitional mechanisms is to ensure continuity in the administration of justice during the migration from one dispute resolution framework to the other. Such a course avoids disruption to proceedings already lawfully instituted. Transitional provisions are intended to preserve legal certainty

and prevent *lacunas* in the administration of justice. To construe s 56 of the Amendment Act as having instantaneously divested designated agents of all authority, irrespective of the stage reached by pending disputes, would produce precisely the absurdity that transitional provisions are designed to avoid. Such an interpretation would create an untenable legal scenario in which litigants who had properly invoked the jurisdiction of NECs prior to the commencement of the Amendment Act would be left without a competent forum to determine their disputes. It would undermine the principles of legal certainty, fairness, and access to justice, and would frustrate rather than advance the legislative purpose underlying the amendment. See the case of *Chihava & 2 Ors* v *The Provincial Magistrate Francis Mapfumo N.O & Anor* CC6-15 for that proposition and a discussion of the "golden rule" of statutory interpretation. An interpretation of the Amendment Act which invalidates every determination issued by a designated agent during the transitional period, notwithstanding the absence of any express statutory provision to that effect, would plainly produce an absurd result. It would retrospectively nullify proceedings lawfully commenced, unsettle vested rights and obligations, and undermine the orderly administration of justice, consequences that Parliament clearly never countenanced.

20. In this case, it is common cause that the respondent's unfair dismissal dispute had already been instituted before the designated agent prior to the coming into force of the Amendment Act, although the determination thereof was handed down after the commencement date. That commencement, without more, did not extinguish pending proceedings or divest the designated agent of jurisdiction to conclude matters that had already been lawfully instituted. Rights and obligations that had accrued under the previous legislative framework remained intact because nothing in the Amendment Act supposes a legislative intention to invalidate them or to render determinations arising from such proceedings null and void. We did not hear counsel for the appellant to advance any other argument other than that the NECs had been abolished and therefore their decisions were null and void. As already stated, counsel drew support from the cited Labour Court decisions.

21. When the judgment in *DGL Investments* was handed down, it was taken on appeal to the Supreme Court. Unfortunately, the appeal was aborted. Likewise, the case of *Nyenya v N. Richards* (supra) also went on appeal. The Supreme Court, however, allowed the appeal by consent of the parties. In both instances, the Supreme Court did not have the opportunity to deal with the issues on the merits and pronounce the position of the law. We pause here to state that the Labour Court is a specialist court in labour matters. We value its views in that field and would ordinarily embrace its decisions. The question in *DGL Investments* and the kindred judgments cited was, however, not a labour law issue but one of statutory interpretation which this Court would be equally competent to deal with. In any case, this Court is not bound by those decisions because the Labour Court is a court subordinate to the High Court. It leaves us at large to interpret the effect of the new s 56 of the Amendment Act on the functions of the NECs without being restricted by the decisions of the Labour Court.

22. We accept that a literal interpretation of the new s 56 of the Amendment Act would support the Labour Court's view that the NECs were abolished and that due to the absence of any savings provisions, it meant that decisions made by designated agents after the commencement date were null and void. But what that route missed was the absurdity that would result from such interpretation. It would mean a total obliteration of the employment councils' system. Further, the ridiculousness would be apparent in that the interpretation would support a complete failure of a critical public system. By declaring all National Employment Councils "illegal" or "defunct," overnight, the decisions of the Labour Court propelled the national collective bargaining and dispute resolution mechanisms into irreversible incapacitation. In turn, and needless to mention, that would create havoc in employment places and deprive hundreds of employees of recourse in the event of labour disputes with their employers. The decisions also appear to have turned a blind eye to the sacrosanct presumption against retroactivity which we discussed earlier**.** They ignored the rule that new laws do not retrospectively strip away vested rights or invalidate active, ongoing dispute proceedings. The clear intention of the

lawmaker was not to paralyse the NECs but to simply enhance their functions going forward, by subjecting them to a more rigorous corporate governance regime.

23. For the above reasons, it cannot be correct that the determination under challenge here was void for want of jurisdiction by the designated agent. That agent had all the power required to make the decision that he took. Without any other deficiencies being attributed to it, the determination remains lawful. The appellant's sole ground of appeal is therefore without merit.

25. But before we conclude, we deem it appropriate to comment on the procedure adopted by the respondent in enforcing the award granted in his favour. Instead of registering the award as an order of the Magistrates' Court, the respondent viewed it as a liquidated civil debt. He sued summons to recover it. That course was obviously unconventional but is one that must have been borne out of necessity. This Court, in a long line of decisions, such as *Zimbabwe Rural District Councils Workers Union* v *Nyanga Rural District Council & 2 Others* HH 118/22; *Mazambara & Others* v *Kadoma Textiles (Pvt) Ltd* HH 143/24 and *Amidol Services (Private) Limited t/a House of Rag* v *Andrew Chepiri* HH 257-26 among others, has repeatedly stated that decisions of designated agents are not registrable as arbitral awards because there is no law that provides for their registration. What that means is that even those workers who get final determinations from designated agents are closed out and left holding on to pyrrhic victories. That state of helplessness resulted in the ingenuity of suing out summons to recover the awarded monies. Recently, in the case of *Jairos Moyo v Little Hearts Christian College* HH440-26, MAMBARA J invoked this Court's inherent jurisdiction and its constitutional power to develop the common law to allow the registration of an award granted by a designated agent by the High Court. But even then, his LORDSHIP did not hold back in stating that because of the absence of a law regulating such registration, the Magistrates Court, being a creature of statute, remained hamstrung and unable to register such orders. Given that logjam, no one can blame a litigant for taking the course that the respondent followed in this case.

Costs

26. Ordinarily, costs in this jurisdiction follow the cause. Neither counsel argued otherwise in this case. We therefore have no reason to depart from that general rule.

Disposition

27. We stated earlier that the question whether or not the amount claimed was a liquidated claim was abandoned. It is therefore not an issue, and we need not deal with it. In the result, we are satisfied that contrary to the views of the appellant, the determination by the designated agent was valid. Once that conclusion is reached, it must follow that the appellant had no defence to the respondent's claim. Accordingly, the court *a quo* was within its rights to grant the application for summary judgment. There is no basis upon which we may interfere with that decision. We accordingly order that: -

a. The appeal be and is hereby dismissed
b. The appellant shall pay the respondent's costs

MUTEVEDZI J…….

NDHLOVU J……Agrees

Mvhiringi & Associates for the appellant

Nkomo Sibanda Legal Practitioners for the respondent